

much time in front of the screens watching these markets trade versus each other that he has a sense of when to buy and sell. Larry lets the market dictate to him what he should do, which is very different from how most managers approach trading.”

After joining Spear Leeds in 1990, Benedict was net profitable for 20 consecutive years. The streak, however, ended in 2011—just barely—when his fund lost 0.6 percent. Since its inception in 2004, Benedict’s fund has realized an average annualized compounded net return of 11.5 percent (19.3 percent gross). If this return does not sound sufficiently impressive, keep in mind that it was achieved with an extremely low annualized volatility of 5.8 percent and, even more impressive, a maximum drawdown of less than 5 percent. Benedict’s return/risk numbers are exemplary. His Sharpe ratio is very high at 1.5. The Sharpe ratio, however, understates Benedict’s performance because this statistic does not distinguish between upside and downside volatility, and in Benedict’s case, most of the limited volatility is on the upside. Benedict’s Gain to Pain ratio is an extremely high 3.4. (See Appendix A for an explanation of the Gain to Pain ratio.)

Benedict won’t allow family or friends to invest in his fund, as one of his friends since childhood told me. “Larry will never take any investor money from friends or family. I tried to convince him to take money from me, but he wouldn’t do it. When I was managing a multistrategy fund of funds, he wouldn’t even let the firm invest because I was the one directing the investment. He doesn’t want to bear the responsibility. After 2008, when his parents had lost a lot of money in their conventional investments, just like most other investors, while his fund was up 14 percent, I asked him, ‘Larry, don’t you now regret that you didn’t let your parents and friends invest with you?’ He answered, ‘No, that doesn’t change anything. It would just add another layer of distraction. I would rather write my parents a check if they needed the money than ever have them in the fund.’ ”

I visited Benedict at his offices in Boca Raton, Florida. Although there is ample space in their office complex, Benedict and his entire team are crowded together in a single room. Because of the confined quarters, and to avoid continuous distractions, we conducted the interview in an overly spacious, but entirely unassuming, conference room. Assistants would periodically come in to advise Benedict of market price moves and to get